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# Exchange Rates

**Exam code:** 0450, 0986 & 0264, 0774

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## Defining exchange rates

- **The exchange rate is the value of one currency expressed in terms of another**
  - For example, in August 2025, $1 was worth £0.75
- Exchange rates are an important economic influence for businesses that **import** raw materials and components and for businesses that **export** their products
- Exchange rates **fluctuate** for a range of reasons, including
  - Changing demand for a currency
  - Economic growth
  - Changes to **interest rates**

## Exchange rate appreciation and depreciation

- The value of a currency **changes over time**
- These changes can have a significant impact on **business costs** and overseas **sales revenue**

### Appreciation

- **Currency appreciation is when the value of one country's currency increases compared to another currency**
- When global demand for a currency rises, it **appreciates**
  - This means that the **value of a currency rises**
    - For example, $1 = £0.75 goes to $1 = £0.80
  - This appreciation makes exports from the UK relatively more expensive for US customers
    - Americans buying goods from the UK now have to pay more in dollars than they did previously

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## Depreciation

- **Currency depreciation is when the value of one country's currency decreases compared to another currency**
- When global demand for a currency falls, it **depreciates**
  - This means that the **value of a currency falls**
    - For example, $1 = £0.75 goes to $1 = £0.60
  - This depreciation makes exports from the UK relatively more attractive to US customers
    - Americans buying goods from the UK now pay less in dollars than they did previously
  - Imports from the US become more expensive for UK customers
- Changing currency values can have a big impact on the **business costs and sales revenue** of MNCs

### Case Study

**How UK Exporters Benefited From a Weak Pound**

In 2016, after the UK voted to leave the European Union, the value of the **British pound depreciated** against other currencies

- When the pound became weaker, **UK products became cheaper** for customers in other countries
- As a result, many UK businesses that sell products abroad saw an **increase in sales**
- For example, **UK car and machinery manufacturers** sold more goods to Europe and Asia because they were now better value for money

# The effects of exchange rate change on businesses

## The impact of exchange rate change on exporting and importing businesses

| Change to currency value | Impact on exporting businesses | Impact on importing businesses |
|---|---|---|
| **Appreciation** | • **Sales are likely to fall** as products become more expensive when compared to overseas competitors<br>• To remain competitive, exporting businesses **may lower prices** and accept lower profit margins | • **Costs are likely to fall** as supplies from overseas become cheaper<br>• Businesses may **expand the pool of overseas suppliers** to further reduce costs and maximise profits |
| **Depreciation** | • **Sales are likely to rise** as products become cheaper when compared to overseas competitors<br>• Businesses may choose to **increase selling prices** to increase profit margins | • **Costs are likely to rise** as supplies from overseas become more expensive<br>• Businesses may **seek domestic suppliers** to reduce costs and maintain profit levels |

### Examiner Tips and Tricks

A common error is to say a "strong currency is always good." Not true. An appreciating exchange rate makes imports cheaper but exports less competitive. Always link the effect to whether the business mainly imports or exports before making a judgement

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